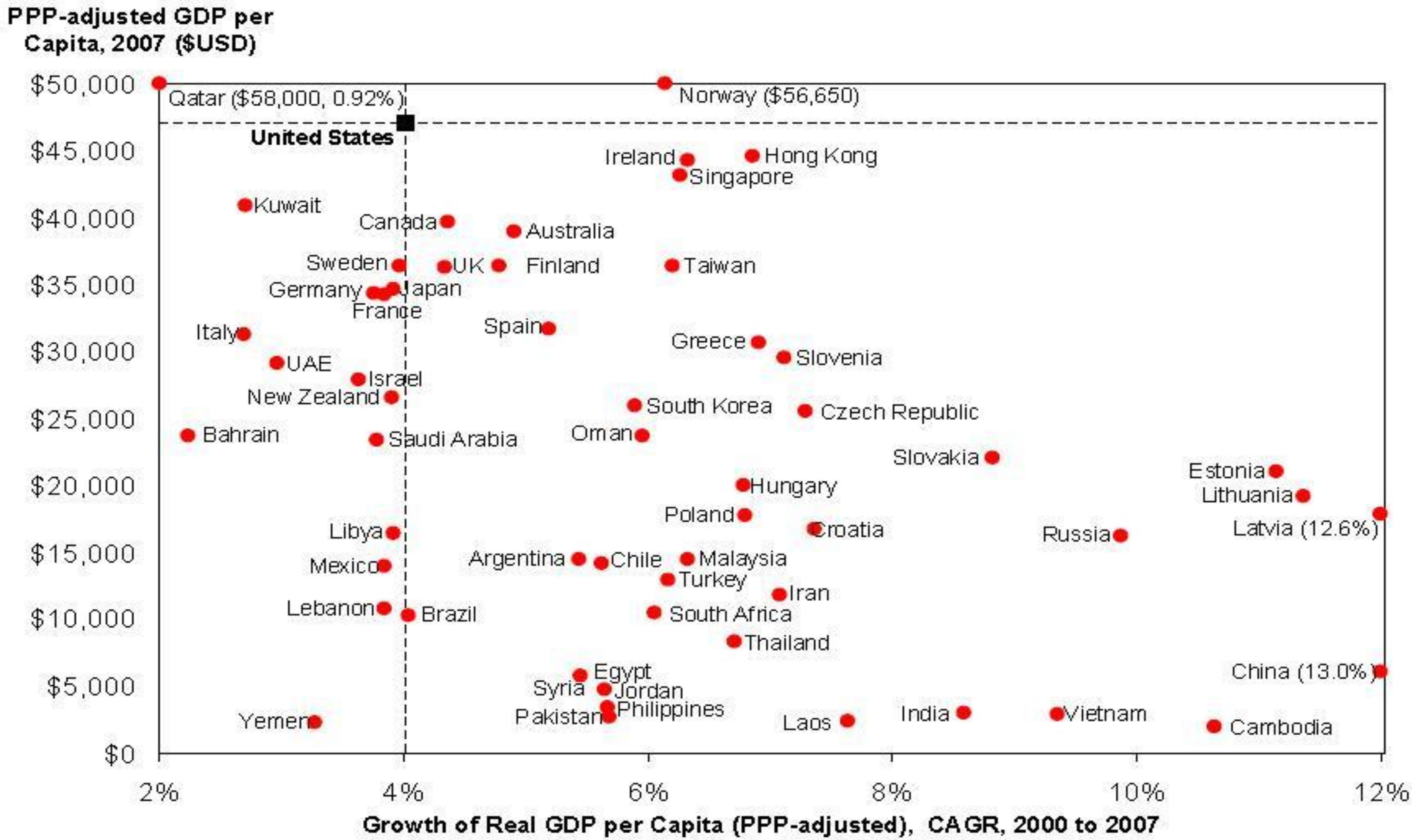
National Competitiveness

Dr. Kwangsoo Kim
Konkuk University

WHAT IS COMPETITIVENESS?

- Competitiveness comes from the productivity / innovation for which a nation uses its human, capital, knowledge, and natural resources.
  - Productivity & innovation sets the sustainable standard of living (prosperity: wages, returns on capital, etc.) that a country can sustain
  - It is not what industries a nation competes in that matters for prosperity but how productively and innovatively it competes in those industries
  - Productivity and innovation arise primarily from firms/industries
- Hence, nations compete to offer the most productive and innovative environment for firms/industries

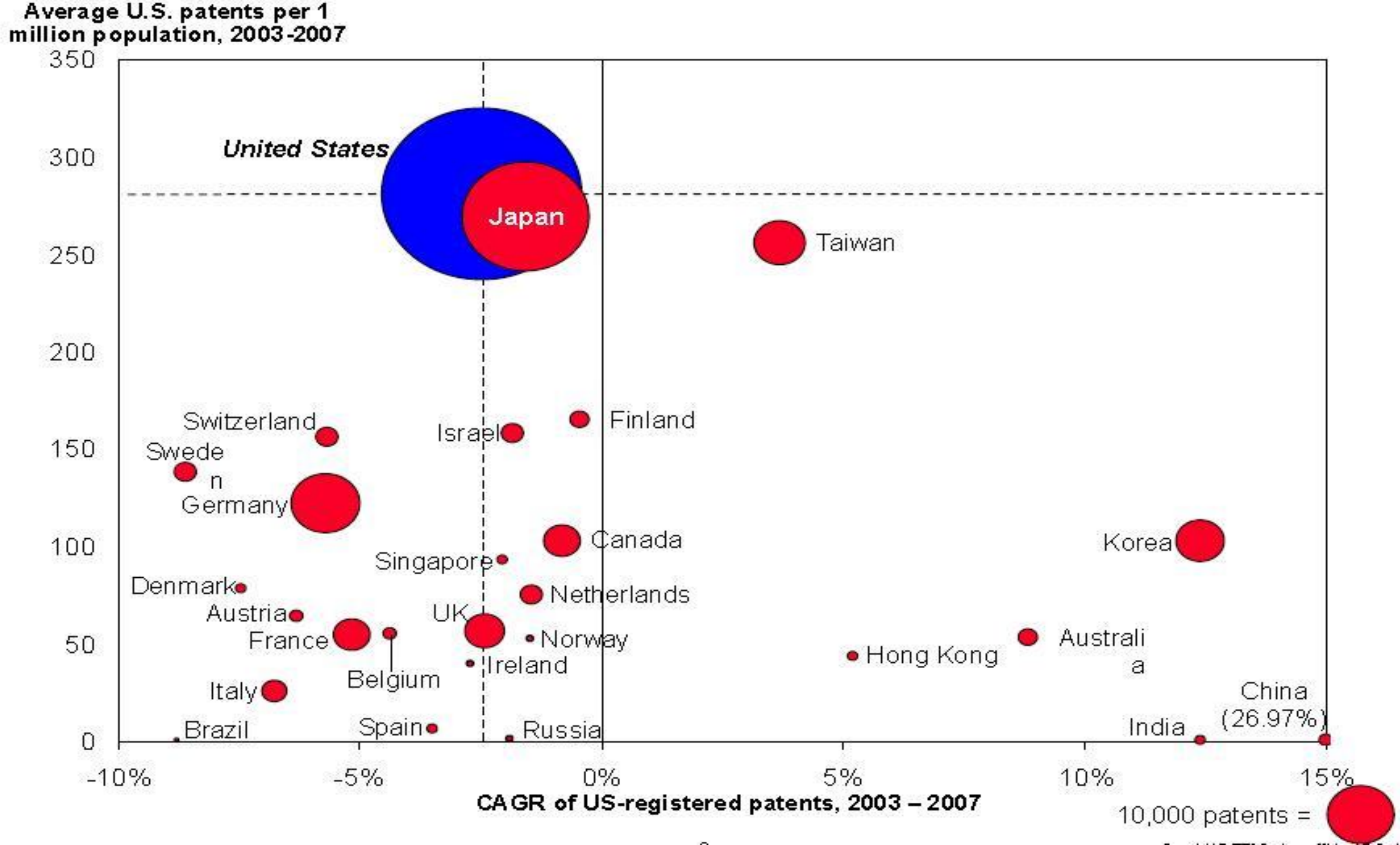
Prosperity Performance
Selected Countries



Source: EIU (2009)

Innovative Capacity

Innovation Output of Top 25 Patent Producing Countries



Source: USPTO (2008)

DETERMINANTS OF COMPETITIVENESS

Microeconomic Competitiveness

Quality of the National Business Environment

State of Cluster Development

Macroeconomic Competitiveness

Social Infrastructure and Political Institutions

Macroeconomic Policies

- Macroeconomic competitiveness creates the potential for high productivity and innovation, but is not sufficient
- Productivity and innovation ultimately depend on improving the microeconomic capability of the economy and the sophistication of local competition at the industry level

Macroeconomic Competitiveness

Social Infrastructure and Political Institutions

- Human development:
  - basic education and health care
- Rule of law:
  - property rights and due process
- Political institutions:
  - stable and effective political and governmental processes and organizations

Macroeconomic Policies

- Fiscal policy:
  - public spending aligned with revenues over time
- Monetary policy:
  - low levels of inflation
- Macroeconomic management:
  - avoiding structural imbalances and cyclical overheating

Microeconomic Competitiveness:
Quality of the National Business Environment

Context for Firm Strategy and Rivalry

- Local rules and incentives that encourage investment and productivity
  - e.g. salaries, incentives for capital investments, intellectual property protection, corporate governance standards
- Vigorous local competition
  - Openness to foreign competition
  - Competition laws

Factor (Input) Conditions

- Access to high quality business inputs
  - Natural endowments
  - Human resources (labor)
  - Capital availability
  - Physical infrastructure
  - Administrative and information infrastructure
  - Scientific and technological infrastructure

Demand Conditions

- Sophistication of local customers and needs
  - e.g., Strict quality, safety, and environmental standards
  - Consumer protection laws

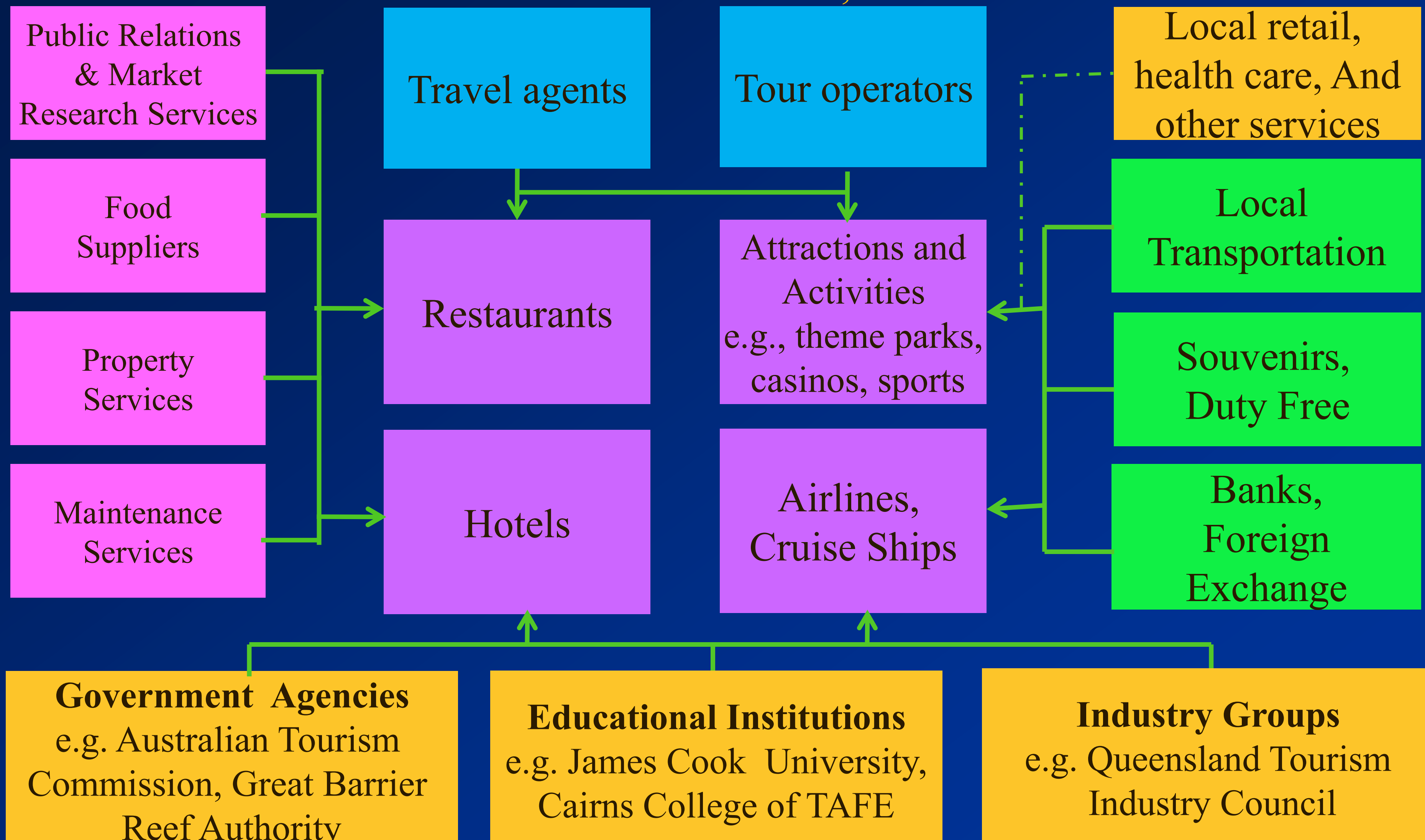
Related and Supporting Industries

- Availability of suppliers and supporting industries

- Many things matter for competitiveness
- Successful economic development is a process of successive upgrading, in which the business environment improves to enable increasingly sophisticated ways of competing

Microeconomic Competitiveness:
State of Cluster Development

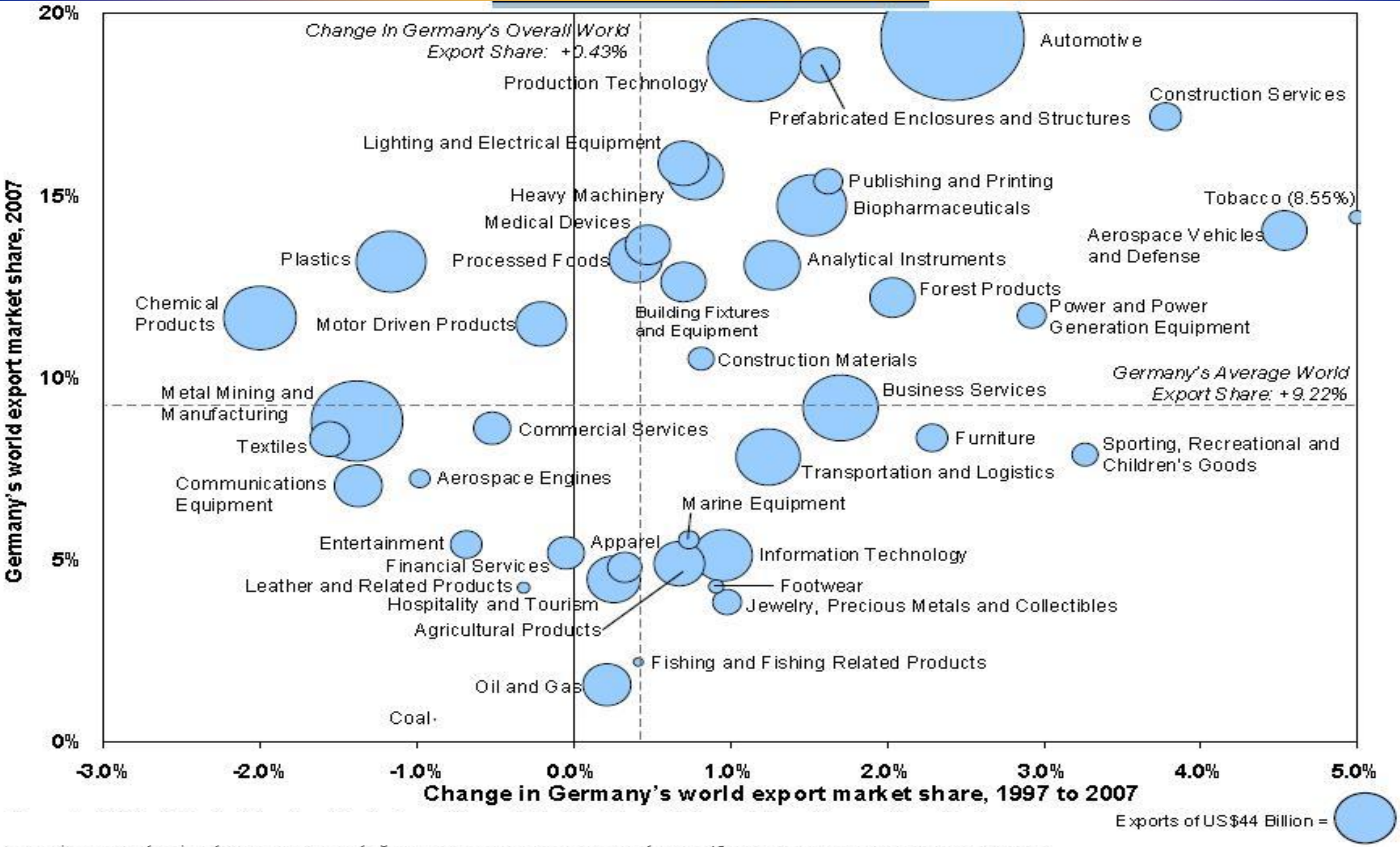
Tourism Cluster in Cairns, Australia



Sources: Michael Porter, 2009 (HBS student team research)

National Cluster Export Portfolio

Germany, 1997 to 2007



Source: Michael Porter, International Cluster Competitiveness Project, 2009

Role of Government for Competitiveness

To help firms achieve productivity & innovation

- Focus on specialized factor creation
- Enforce strict product, safety, and environmental standards
- Sharply limit direct cooperation among industry rivals
- Promote goals that lead to sustained investment in human skills, innovation, and physical assets
- Deregulate competition
- Enforce strong domestic antitrust policies
- Reject managed trade

Role of Private Sector/Company for Competitiveness

- Create pressures for innovation
- Welcome domestic rivalry
- Take an active role in upgrading local infrastructure
- Improve the local business environment (the national diamond), and nurture local suppliers first and attract foreign suppliers.
- Globalize to tap selective advantages in other nations – abandoning the home diamond is not good
- Locate the home base to support competitive advantage
- Work closely with local educational and research institutions to upgrade their quality and create specialized programs addressing the cluster's needs
- Inform government on regulatory issues and constraints bearing on cluster development

CONCLUSIONS

- National competitiveness should be understood at the level of industry
- National competitiveness is determined by macroeconomic and microeconomic factors.
- Especially the quality of the national business environment(i.e., factor conditions, demand conditions, context for firm strategy and rivalry, and related and supporting industries) and the state of cluster development are critical for national competitiveness

CONCLUSIONS

- Companies are the only real entities that can achieve and sustain competitive advantage (competitiveness), and they can do so by improving productivity and innovation
- Governments can help companies achieve competitiveness by providing them with more productive and innovative business environments
- Managers should understand national competitiveness for effective global business management